

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**OPPOSITION OF RESPONDENTS SERVICE BY AIR, INC. TO CMI DISTRIBUTION
INC.'S MOTION TO ADJUST BRIEFING SCHEDULE TO PERMIT TAKING OF
DEPOSITINO [SIC] WITNESS RELIED UPON BY SBA**

I. INTRODUCTION

This motion is the reaction of complainant CMI Distribution, Inc. (“CMI”) to its failed attempts to conceal testimony that demonstrates CMI has always known its position is unfounded. CMI failed to acquire its former employee’s pivotal testimony during discovery despite having better access to him than did respondent Service by Air, Inc. (“SBA”). CMI had adequate time to depose that employee before discovery’s closure even after SBA identified him as a witness as an accommodation to CMI. CMI’s baseless motion should be denied.

II. FACTUAL BACKGROUND

1) CMI’s Primary Arguments and Jalowiecki Declaration

This proceeding’s primary issue is subject matter jurisdiction, which hinges on whether SBA operated or “held itself out to the general public” as an NVOCC. To that end, CMI alleges that (a) SBA issued bills of lading to CMI; (b) SBA assumed responsibility for transportation as an NVOCC; (c) SBA presented CMI with a “tariff”; (d) SBA stated it would perform the same functions as UTI; (e) SBA asserted “carrier liens”; and (f) SBA concealed the identity of actual carriers. CMI also alleges the demurrage charges it paid to SBA were unreasonable.

The declaration of former CMI warehouse manager Justin “Jay” Jalowiecki (“Jalowiecki”) addresses, directly or indirectly, most of these points. It also confirms that he managed CMI’s relationship with SBA, and therefore is most authoritative about them.

2) Discovery

CMI failed to identify Jalowiecki as an “Individual with Relevant Facts” in its Initial Disclosures¹ dated October 19, 2017, instead naming only three other CMI employees and three SBA employees. CMI also failed to identify Jalowiecki in its January 12, 2018 and February 1, 2018 responses to SBA’s Interrogatory No. 16,² which asked that CMI:

Identify each person you believe has any knowledge, information, or documents that may be relevant to the claims and defenses raised by any party to this action, and all answers and responses you submit to the preceding discovery requests.

¹ Copies of relevant pages attached as Exhibit 1 to the Declaration of Steven W. Block (“Block Declaration”).

² Copies attached as Exhibit 2 to the Block Declaration.

For each person identified, describe the specific knowledge, information, or documents you believe he/she has. ...

In response to that interrogatory, CMI identified the same six individuals it had in its Initial Disclosures. Notably, CMI identifies no witness as having knowledge about SBA's alleged NVOCC activities or "holding itself out to the general public" as an NVOCC. All CMI witnesses are identified only with knowledge as to the demurrage issue.

However, CMI has long known that Jalowiecki is a pivotal witness. Of 1,589 documents SBA produced to CMI in discovery on January 12, 2018, 725 reference "Jalowiecki," including 300 emails from and 255 emails to him. CMI produced to SBA at least 50 emails that are to, from, or copied to Jalowiecki.³ These documents address this proceeding's fundamental points.

When asked in deposition what CMI employees "had primary responsibility" in CMI's relationship with SBA, CMI's 30(b)(6) designee testified "Jay Jalowiecki" first among four CMI employees.⁴ During questioning about the typical process by which CMI would request SBA's services, CMI's 30(b)(6) designee testified that "Jay Jalowiecki would get involved."⁵

3) SBA's Identification of Jalowiecki as a Witness

In its motion, CMI asserts the following:

The Presiding Judge entered a Scheduling Order which provided that fact discovery was to close on February 5, 2018. On February 14, 2018, nine days after fact discovery was to have been completed, SBA submitted a First Supplemental Disclosure that identified Jay Jalowiecki as a potential witness ... The First Supplemental Disclosure did not provide an address for Mr. Jalowiecki but instead only provided a phone number [at which CMI's counsel claims he could not reach Jalowiecki].

These statements are disingenuous. Again, CMI has always known about its own employee and his testimony's significance. CMI presumably had Jalowiecki's phone number and address in its human resources records. SBA found him on LinkedIn.⁶

³ Block Declaration and copies of sample documents produced by both parties attached thereto as Exhibit 3.

⁴ Deposition of Maria Vega, copies of relevant pages of which are attached as Exhibit 4 to the Block Declaration, at 55.

⁵ *Id.* at 82-83.

⁶ <https://www.linkedin.com/in/justin-jay-jalowiecki-438038a/>.

While the Scheduling Order states a deadline of February 5, 2018 for fact discovery, it also states a deadline of March 12, 2018 for “all discovery.” On February 9, 2018, CMI’s counsel, having conferred with SBA’s counsel, filed a joint status report that states the following:

2. Due to the complexity of the issues presented and the fact that much of the information related to the matter is in the hands of entities in China, the parties have mutually agreed to allow for additional time for identifying experts until February 16, 2018, *and for completion of fact related depositions until March 12, 2018* [emphasis added].

On February 23, 2018, nine days after SBA identified Jalowiecki without protest from CMI, CMI issued notices of deposition to SBA seeking to depose SBA’s 30(b)(6) designee; Ed Zasada; and Bryan Tincher.⁷ Those depositions took place on March 1, 2018. CMI produced its 30(b)(6) designee and expert for deposition on February 28, 2018. Deposition scheduling was by agreement of counsel to accommodate their and witnesses’ availability.⁸

On March 14, 2018, CMI’s counsel filed another joint status report confirming that “[o]n February 28, 2018 and March 1, 2018, SBA and CMI conducted depositions,” and that “CMI and SBA have concluded discovery and depositions and are ready to proceed.”

III. LEGAL ARGUMENT

The relief CMI requests, i.e., reopening discovery after briefing has been filed, is extraordinary, to say the least. CMI cites no authority or precedent for its request.

Nor is SBA to blame for CMI’s failure to depose Jalowiecki during discovery by the timing of its supplemental Initial Disclosure. Indeed, SBA was under no obligation to identify Jalowiecki, as CMI clearly was already aware of him. FRCP 26(e), entitled **Supplementing Disclosures and Responses**, provides that:

[A] party who has made a disclosure under Rule 26(a) ... must supplement or correct its disclosure or response (A) in a timely manner if the party learns that in some material respect the disclosure or response is incomplete or incorrect, *and if the additional or corrective information has not otherwise been made known to the other parties during the discovery process or in writing* [emphasis added].”

⁷ Copies attached as Exhibit 5 to the Block Declaration.

⁸ Block Declaration.

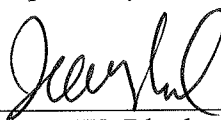
See also Kacian v. Brennan, 2017 U.S. Dist. LEXIS 32629, 8-9, 2017 WL 933142 (W.D. Pa. 2017; and *Veverka v. Royal Caribbean Cruises Ltd.*, 649 F. App'x 162, 166 (3d Cir. 2016).

CMI suggests reopening of discovery is necessary to “prevent the ‘sandbagging’ of a party with new evidence at trial or on a motion.”⁹ No such threat exists here. If anything, CMI was remiss in failing to identify Jalowiecki in its own Initial Disclosures and discovery responses.

IV. CONCLUSION

The Scheduling Order states “[t]he parties are reminded that a ‘scheduling order is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.’ [citation omitted].” By this motion, CMI asks the Presiding Officer to countenance its disregard of the Scheduling Order in an extreme fashion, i.e., to reopen discovery after respondents have filed their final briefing. CMI’s motion should be denied accordingly.

Respectfully submitted,



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May 10, 2018

⁹ CMI’s Motion at 2.

CERTIFICATE OF SERVICE

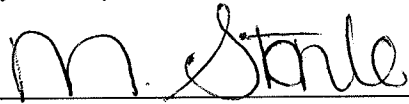
The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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Attorneys for CMI Distribution, Inc.

- | | |
|-------------------------------------|--|
| ☒ | Via First Class U.S. Mail |
| ☐ | Via Priority Mail Express |
| ☐ | Via Express Mail |
| ☐ | Via Hand Delivery |
| ☒ | Via Electronic Mail |
| ☐ | Via E-Service Within Clerk's online
eFiling Application |

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 10th day of May, 2018.



Michelle Stark